

6.3 DETERMINATION OF MARKET PRICE

Multiple Choice Questions

1995/CE/II/08

If the market price of a good is equal to its equilibrium price,

- (1) the sellers can sell all the quantity that they are willing to supply at that price.
 - (2) there is no pressure for the price to change.
 - (3) the sales revenue is maximized
 - (4) consumers' want of the good is fully satisfied
- A. (1) and (2) only
B. (1) and (4) only
C. (2) and (3) only
D. (3) and (4) only

2001/CE/II/04

'A rise in the price of a good will cause a decrease in demand for it and an increase in its supply.'

The above statement is

- A. correct because a change in price will change both demand and supply.
B. incorrect because a rise in price will only increase the supply.
C. incorrect because a rise in price will only decrease the demand.
D. incorrect because both demand and supply will not change as a result of change in price.

2013/DSE/II/10

Which of the following is assumed to be constant when the market demand curve of a good is derived?

- (1) the income of the consumers
 - (2) the price of the good
 - (3) prices of related goods
 - (4) preference of the consumers
- A. (1) and (3) only
B. (2) and (3) only
C. (1), (2) and (4) only
D. (1), (3) and (4) only

1992/CE/II/21

The increase in demand for container transportation will lead to an increase in demand for container truck drivers. This is an example of

- A. competitive demand.
B. joint demand.
C. derived demand.
D. excess demand.

1999/CE/II/05

In which of the following pairs does the demand for the first good create a derived demand for the second?

- A. Digital versatile disc (DVD) and laser disc (LD) player
B. Wood and mutton
C. Hardback book and printing paper
D. Electricity and light bulb

2000/CE/II/09

Which of the following is an example of joint demand?

- A. The courier service (送遞文件服務) of a local firm and the postal service of the government.
- B. The Airport Express train service and the Tung Cheung Line train service
- C. Magazines and printing paper
- D. Floppy diskettes and floppy diskette drives

2009/CE/II/05

The demand for _____ can be regarded as a derived demand of _____.

- A. beef leather
- B. printing paper magazines
- C. pop songs MP3 players
- D. high definition digital receivers (高清電視機機頂盒) TV sets

2014/DSE/I/12

In which of the following pairs does the demand for the first good create a derived demand for the second one?

- A. Aviation service and pilots
- B. West Rail Line train service and Light Rail train service
- C. Blu-ray discs and Blu-ray disc players
- D. Hong Kong Disneyland and Ocean Park Hong Kong

2016/DSE/I/14

The demand for _____ can be regarded as a derived demand for _____.

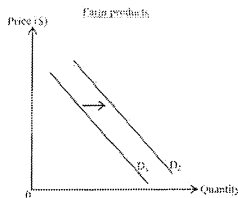
- A. coffee beans coffee
- B. selfie sticks (自拍杆) digital cameras
- C. chicken wings chicken legs
- D. newspapers printing paper

2016/DSE/I/17

The demand for construction workers in Hong Kong will increase if

- A. the legal procedures for urban re-development are simplified.
- B. wage rates of construction workers decrease.
- C. the government provides more allowances for training programmes for the construction industry.
- D. there are fewer job opportunities in the construction industry in Macau.

2018/DSE/II/13

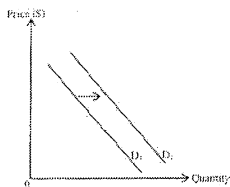


Refer to the above diagram. The price of farming tools will

- A. rise because farm products and farming tools are in joint demand.
- B. fall because farm products and farming tools are in joint demand.
- C. rise because demand for farm products creates a derived demand for farming tools.
- D. fall because demand for farm products creates a derived demand for farming tools.

1990/CE/II/17

Which of the following will cause the demand curve of ice cream to shift from D_1 to D_2 ?



- A. The cost of production of ice cream decreases.
- B. More and more children enjoy drinking soft drinks.
- C. The price of ice cream decreases.
- D. Children are given more pocket money.

1991/CE/II/24

Which of the following may cause the market demand for housing in Hong Kong to increase?

- A. There is an influx of immigrants.
- B. The interest rate has increased.
- C. More housing estates are built by the government.
- D. The selling price of flats has decreased.

1992/CE/II/22

Which of the following factors will cause a decrease in the demand for imported private cars?

- (1) The Organization of Petroleum Exporting Countries (OPEC) restricts the production of oil.
- (2) An extension of the Mass Transit Railway to Kennedy Town is built.
- (3) The price of imported private cars increases.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3) only

1992/CE/II/42

The Housing Authority has offered to sell rental flats in public housing to the present tenants. However, not many tenants have expressed a desire to buy the flats they are living in. Which of the following would make the tenants more willing to buy the flats?

- A. increasing the supply of flats in the private sector
- B. increasing the rents of public housing units
- C. increasing the interest rates on home mortgage loans
- D. increasing the quantity of Home Ownership Scheme flats allocated to tenants

1993/CE/II/18

In 1992, the lending ceiling (最高貸款額) on home mortgages in Hong Kong was reduced from 90% to 70% of the value of the property. This resulted in _____ residential property.

- A. a decrease in the demand for
- B. a decrease in the quantity demanded of
- C. an increase in the supply of
- D. an increase in the quantity supplied of

1994/CE/II/07

If the price of movie tickets increases and the rental of laser discs falls, then the equilibrium price of laser disc players

- A. will remain unchanged.
- B. will increase.
- C. will decrease.
- D. may increase or decrease.

1994/CE/II/58

Which of the following situations will **NOT** lead to an increase in demand for private cars?

- A. The price of private cars decreases sharply.
- B. More people live in the remote areas in the New Territories.
- C. The fares for public transport increase.
- D. The government abolishes the gasoline tax.

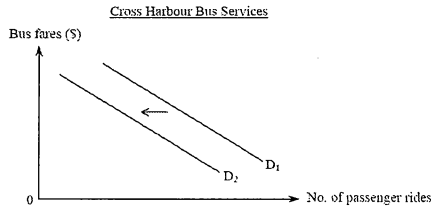
1996/CE/II/06

Suppose the price of compact discs decreases. The price of compact disc players will _____ and the demand for cassette tapes will _____.

- A. rise increase
- B. rise decrease
- C. fall increase
- D. fall decrease

2002/CE/II/07

Refer to the following diagram:



Which of the following would lead to the above change in demand from D_1 to D_2 ?

- A. an increase in the toll fee for taxis using the cross harbour tunnels
- B. an increase in the frequency of cross harbour bus services
- C. a fall in the wage rate of bus drivers
- D. a fall in the ticket price for Mass Transit Railway services

2003/CE/II/08

According to research evidence, one of the substances in beer has proved to be good for the healthy development of bones. This will lead to an increase in

- (1) the supply of beer.
 - (2) the quantity transacted of beer.
 - (3) the demand for beer.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2004/CE/II/05

Suppose a bill is passed that punishes the buyers of pirate compact discs (CDs). The price of pirate CDs would _____ and the quantity transacted would _____.

- A. increase increase
- B. increase decrease
- C. decrease increase
- D. decrease decrease

2005/CE/II/04

Suppose consumers of traditional eye-glasses gradually change to using contact lenses. As a result, the equilibrium price of traditional eye-glasses will _____ and the sales revenue of traditional eye-glass sellers will _____.

- A. rise increase
- B. rise decrease
- C. fall increase
- D. fall decrease

2006/CE/II/07

Nowadays, more schools in Hong Kong have implemented reading programs to develop students' reading habits. This would lead to an increase in

- A. both the demand for and the supply of books.
- B. both the demand for and the quantity supplied of books.
- C. both the supply and the quantity demanded of books.
- D. both the supply and the quantity supplied of books.

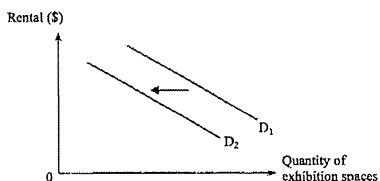
2007/CE/II/10

A possible cause of an increase in both the world market price and the quantity transacted of gasoline could be

- A. a warmer than usual weather during winter around the world.
- B. a rapid industrial development of newly developing countries.
- C. oil production cuts by the Organization of Petroleum Exporting Countries (OPEC).
- D. a decrease in the price of crude oil which is used to produce gasoline.

2008/CE/II/04

The following diagram shows the market of exhibition spaces in Hong Kong.



An increase in the _____ would lead to a shift of the demand curve from D_1 to D_2 in the diagram.

- A. rental of exhibition spaces in Hong Kong
- B. rental of exhibition spaces in Macau
- C. number of trade fairs held in Hong Kong
- D. exhibition spaces in Macau

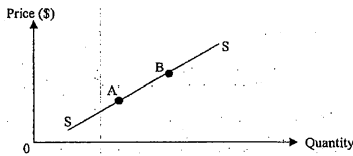
2010/CE/II/06

Suppose both the price and quantity transacted of imported rice decrease. This is likely to be caused by

- A. an increase in the transportation cost resulting from a higher fuel price.
- B. a change in taste from consuming rice to consuming noodles.
- C. a bad harvest of rice.
- D. an increase in the income of households given that rice is a normal good.

2015/DSE/I/15

SS is the supply curve for smartphones. Which of the following reasons can best explain the change of the equilibrium position in the smartphone market from A to B?



- A. The retailers offer more free gifts for buying smartphones.
- B. The size of a tablet computer with a phone function is reduced.
- C. There are more smartphone producers in the market.
- D. The major network service providers increase the service charge at the same price.

2016/DSE/I/13

Which of the following situations would lead to an increase in the demand for private housing?

- A. The price of private housing decreases.
- B. The supply of public housing increases.
- C. People expect the interest rate for mortgage loans to increase later.
- D. People expect the price of private housing to increase later.

2017/DSE/I/14

Which of the following situations would most likely lead to an increase in the demand for iPhone produced by Apple Inc.?

- A. A technological breakthrough in the battery industry reduces its production cost.
- B. People expect the next model of iPhone will have more innovative features.
- C. A model of Samsung smartphone is banned by many airlines.
- D. Apple Inc. reduces the selling price of iPhone.

1990/CE/II/17

Which of the following will cause a fall in the equilibrium price of petroleum in a country?

- A. The country imposes a quota on the imported oil.
- B. The cost of exploration for oil increases substantially.
- C. The country undergoes rapid industrialization.
- D. A cheap substitute for oil has been discovered.

1993/CE/II/57

The price of textbooks in Hong Kong has greatly increased in recent years. Which of the following is **NOT** a possible reason for this?

- A. more frequent revisions of textbooks
- B. more publishers publishing textbooks
- C. increasing wages and rents
- D. the photocopying of textbooks becoming more costly

1996/CE/II/04

The supply of secondary school teachers will increase if

- A. the government provides a subsidy for schools to employ more language teachers.
- B. the government increases the salary of teachers.
- C. the number of children eligible for secondary education increases
- D. the number of job vacancies in the business field decreases

1996/CE/II/56

An increase in the supply of leather which is used in the production of shoes will have the following effects **EXCEPT**

- A. an increase in the demand for shoes.
- B. an increase in the supply of shoes.
- C. an increase in the quantity demanded of leather.
- D. an increase in the quantity demanded of shoes.

1998/CE/II/09

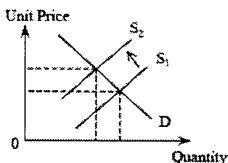
Suppose the price of oranges increases and the quantity of oranges transacted decreases in H.K., this is likely caused by

- (1) a rise in transportation cost.
 - (2) a fall in the price of apples.
 - (3) the fact that oranges have proved useful in reducing the chance of catching a cold.
 - (4) a serious bad harvest of oranges in the U.S.A.
- A. (1) and (2) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (3) and (4) only

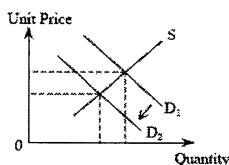
2000/CE/II/12

Which of the following diagrams shows the result of an improvement in the technology used in producing digital versatile disc (DVD) players?

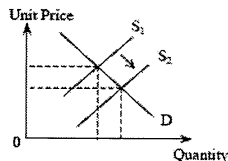
A. DVD Players



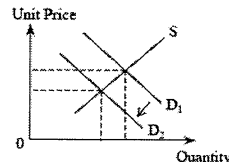
B. DVDs



C. Cinema Tickets



D. Video Compact Discs (VCDs)



2001/CE/II/03

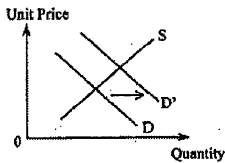
'Compared to last year, more watermelons were sold this summer and the price was lower.' This is because there was a (an) _____ in the _____ watermelons.

- A. increase demand for
- B. decrease demand for
- C. increase supply of
- D. decrease supply of

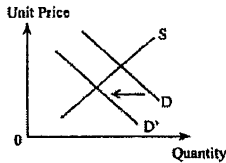
2001/CE/II/05

Which of the following diagrams shows the result of a significant increase in the annual licence fee for private cars?

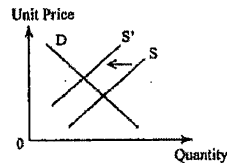
A. Public Transport Services



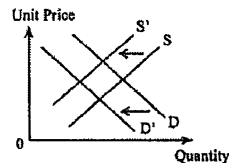
B. Public Transport Services



C. Private Cars



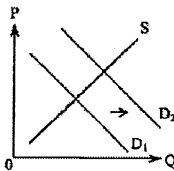
D. Private Cars



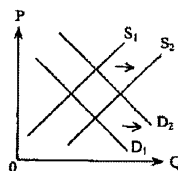
2003/CE/II/14

Which of the following diagrams shows the result of a significant reduction in the cost of storing and transporting chilled chicken from the mainland of China to Hong Kong?

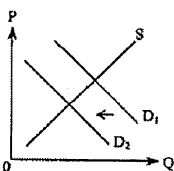
A. Chilled chicken



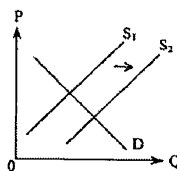
B. Chilled chicken



C. Fresh chicken

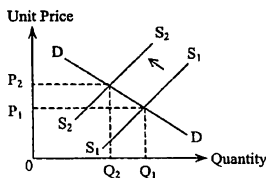


D. Fresh chicken



2004/CE/II/06

Suppose the Hong Kong government imposes a toll on highway users.



The above graph shows the effect of the above toll on the market of

- A. Mass Transit Railway (MTR) services.
- B. private motor cars.
- C. gasoline.
- D. school bus services.

2006/CE/II/06

An increase in the price of petroleum will lead to a decrease in

- A. the demand for petroleum.
- B. the demand for mini-bus services.
- C. the supply of mini-bus services.
- D. the supply of mini-bus drivers.

2006/CE/II/08

Which of the following would lead to a fall in price and an increase in quantity sold of imported Japanese television sets in Hong Kong?

- A. The transportation cost of goods from Japan to Hong Kong increases.
- B. An increasing number of lower-priced similar models of television sets are imported from Korea.
- C. The Japanese technology in producing television sets improves.
- D. The salaries tax rate in Hong Kong decreases.

2007/CE/II/05

Suppose the technology required to produce LCD TV sets (液晶電視機) advances. The price of LCD TV sets will _____ and the price of traditional CRT TV sets (傳統顯像管電影機) will _____.

- A. rise rise
- B. rise fall
- C. fall rise
- D. fall fall

2009/CE/II/06

An increase in the price of flour will lead to a decrease in

- A. the demand for flour.
- B. the supply of flour.
- C. the demand for bread.
- D. the supply of bread.

2013/DSE/I/12

A drop in the price for good X will lead to a drop in the price of good Y if

- (1) good X and good Y are substitutes
 - (2) good X and good Y are complements
 - (3) good X and good Y are in competitive supply.
 - (4) good X and good Y are in joint supply
- A. (1) and (3) only
B. (1) and (4) only
C. (2) and (3) only
D. (2) and (4) only

2015/DSE/I/14

Holding other factors constant, a rise in the price of Good X will lead to a fall in the total revenue of Good Y if

- A. Good X and Good Y are complements.
B. Good X and Good Y are substitutes.
C. Good X and Good Y are in joint supply.
D. Good X and Good Y are in competitive supply.

2017/DSE/I/17

Suppose Good Y is an inferior good. When people's income rises and the production cost of Good Y increases, the equilibrium price of Good Y _____

- A. will increase
B. will decrease
C. will remain unchanged
D. may increase or decrease

2018/DSE/I/20

The following table shows the number of new Tesla electric vehicle registered in Hong Kong.

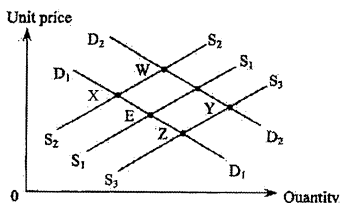
Month	Number of new Tesla electric vehicle registered in Hong Kong
December 2016	168
January 2017	168
February 2017	590
March 2017	2939

The Government announced in mid-February 2017 that the full exemption from first registration tax on electric vehicles would end on March 31, 2017.

Which of the following best explains the above data?

- A. The supply of electric vehicles increased because new technology reduced the production cost of battery used in electric vehicles.
B. The supply of electric vehicles increased because of the exemption of first registration tax by the Government.
C. The demand for electric vehicles increased because the Government built more charging stations in the city.
D. The demand for electric vehicles increased because the buyers expected the cost of buying electric vehicles to go up in the future.

1991/CE/II/12

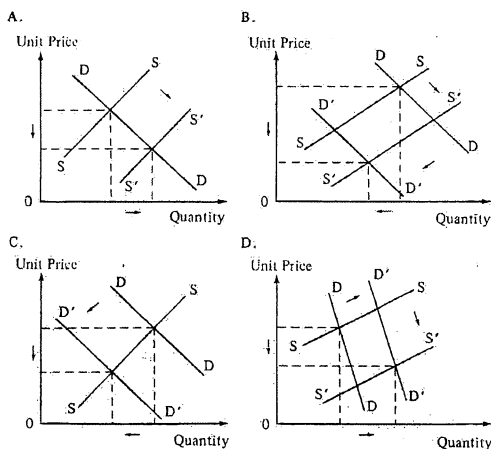


The above diagram shows the market for apples. E is the original equilibrium point. If there is an increase in the population and a good harvest of apples, the new equilibrium point will be

- A. X
- B. W
- C. Y
- D. Z

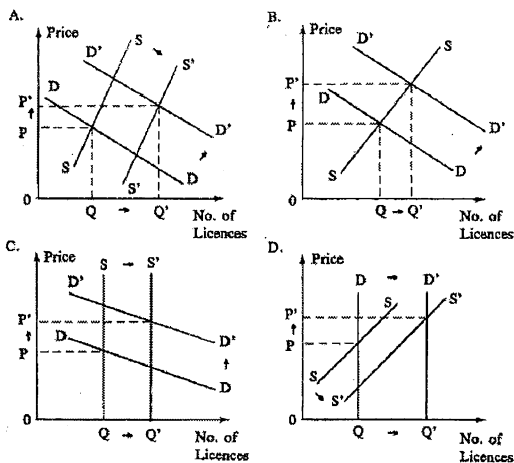
1993/CE/II/26

Technological breakthrough has reduced the production cost of calculators. At the same time, there have been less students sitting for the CE examinations and requiring for the use of calculators. Suppose these two factors have caused the price of calculators to fall. Which of the following graphs helps to illustrate the above situation?



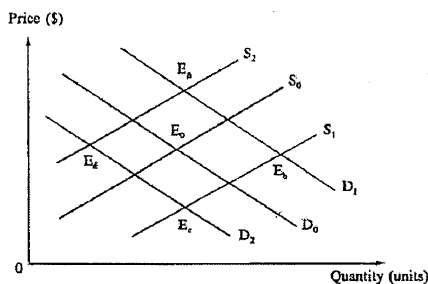
1994/CE/II/06

In Hong Kong, the number of taxi licence is controlled by the government. In a certain year, it was found that the price of taxi licences increased after the government issued more taxi licences. Which of the following diagrams illustrates the above situation?



1995/CE/II/13

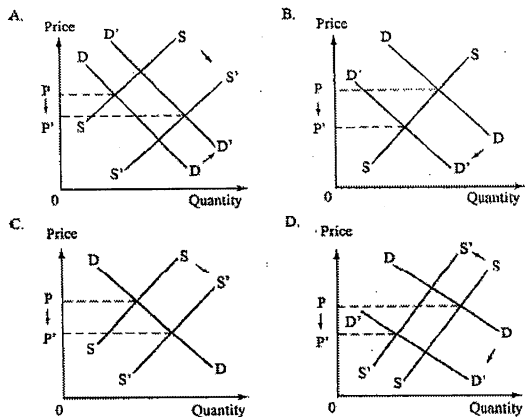
Refer to the diagram below. E_0 is the initial equilibrium point of the toy market in the US. After a sharp increase in the price of raw materials and a boom in the US economy, the new equilibrium point will be



- A. E_a .
- B. E_b .
- C. E_c .
- D. E_d .

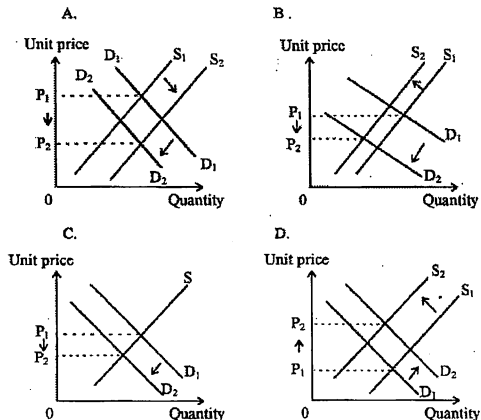
1996/CE/II/05

Suppose there is a technological breakthrough in the production of mobile phones and the charge per minute of using a mobile phone decreases. As a result, the price of mobile phones falls. Which of the following best illustrates the situation of the market for mobile phones?



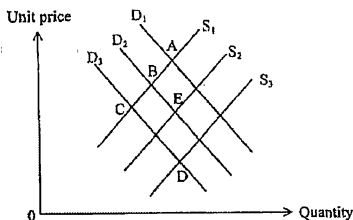
1997/CE/II/05

When the mad cow disease broke out in 1996, many cows were destroyed. Which of the following diagrams best describes the effects in the beef market?



1998/CE/II/08

The diagram below shows the supply and demand curves of tobacco. The original equilibrium point is at E.



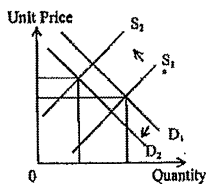
Suppose the government increase the income tax of households and the excise duty on tobacco, the equilibrium point will be

- A. Point A.
- B. Point B.
- C. Point C.
- D. Point D.

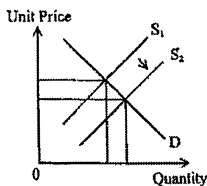
1998/CE/II/10

Suppose the rice production in Thailand suffers a serious fall in output and hence less rice is exported to Hong Kong. Which of the following is a result of this event?

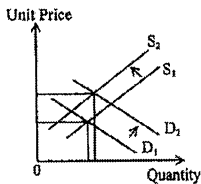
A. **THAI** rice in Hong Kong :



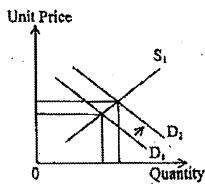
B. **THAI** rice in Hong Kong :



C. **CHINESE** rice in Hong Kong :

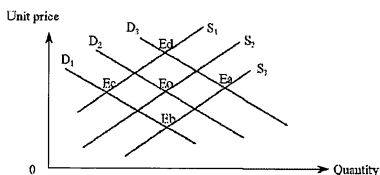


D. **CHINESE** rice in Hong Kong :



1999/CE/II/12

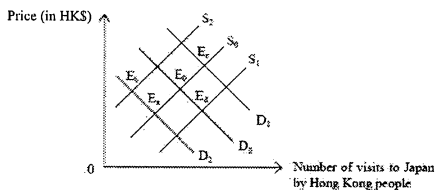
In the following diagram, E_0 is the initial equilibrium point of the market for Hong Kong's garment products in the U.S. Suppose there is an increase in import duties in the U.S. and many U.S. retailers order from other Asian countries instead of Hong Kong, the new equilibrium point in the diagram would be



- A. E_a .
- B. E_b .
- C. E_c .
- D. E_d .

2000/CE/II/07

The diagram below shows the market of tours of Hong Kong people to Japan. The initial equilibrium is at E_0 . Because of economic recession, fewer Hong Kong people spend their holiday in Japan. Moreover, the Japanese Yen appreciates against the Hong Kong dollar.

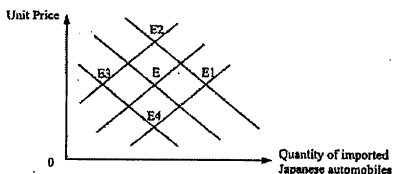


The new equilibrium point in the market will be at

- A. E_a .
- B. E_b .
- C. E_c .
- D. E_d .

2001/CE/II/10

The diagram shows the supply and demand curves of imported Japanese automobiles in Hong Kong. The original equilibrium point is at E.

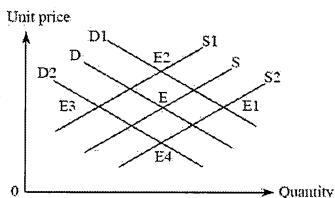


If there is an increase in the transportation cost from Japan to Hong Kong and more similar models of Korean automobiles with cheaper price are imported, the new equilibrium point will be at

- A. E_1
- B. E_2
- C. E_3
- D. E_4

2002/CE/II/09

The diagram below shows the supply and demand schedules of the market for airline tickets in Hong Kong. The original equilibrium point is at E.



If, as a result of a terrorist attack, fewer people travel overseas and the insurance premium of airlines rises to a high level, the new equilibrium point will be at

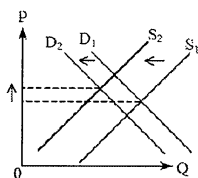
- A. E₁
- B. E₂
- C. E₃
- D. E₄

2002/CE/II/50

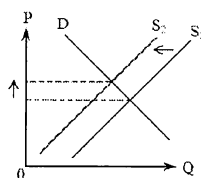
At the outbreak of war in the Middle East, civil aircraft which used to fly through the nearby air space had to fly longer routes in order to stay away from the war areas. Moreover, the risk of travelling by civil aircraft was also higher.

Which of the following diagrams about the effects of these changes is **INCORRECT**?

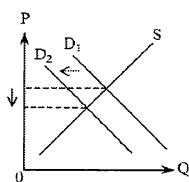
A. Air travel service



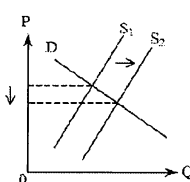
B. Imported goods by air



C. Civil aircraft

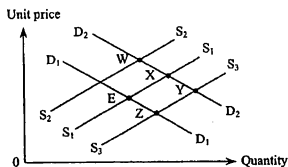


D. Pilots of civil aircraft



2004/CE/II/07

The following diagram shows the market supply and demand curves of face masks in Hong Kong. The original equilibrium point is E.

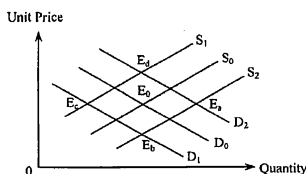


Suppose more people decide to wear face masks to prevent the spread of respiratory diseases and there is an increase in the number of face mask producers. As a result, the new equilibrium point would be

- A. W
- B. X
- C. Y
- D. Z

2005/CE/II/05

In the following graph, E_0 was the original equilibrium point of the seafood market in Hong Kong.

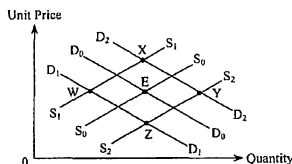


Last year a number of people were poisoned by seafood. At the same time, fishermen's harvest decreased. As a result, what would be the new equilibrium point in the graph?

- A. E_a
- B. E_b
- C. E_c
- D. E_d

2006/CE/II/05

The following diagram shows the private housing market. Point E is the original equilibrium point.

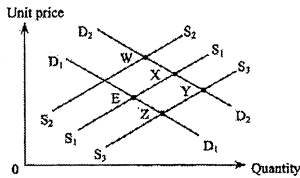


Suppose there is an increase in both the home mortgage loan interest rate and the labour cost of private house construction. The new equilibrium point in the diagram would be

- A. W
- B. X
- C. Y
- D. Z

2007/CE/II/04

The diagram below shows the supply and demand curves of hotel accommodation in Macao. The original equilibrium point is at E.

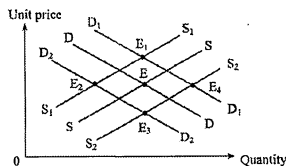


More and more hotels start operating in Macau and it is becoming more popular to visit the place. The New equilibrium point will be at _____.

- A. W
- B. X
- C. Y
- D. Z

2008/CE/II/05

The diagram below shows the supply and demand curves of residential property in Hong Kong. The original equilibrium point is at E.

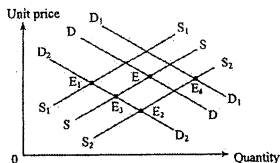


If the population of Hong Kong increases and the wage rate of local construction workers rises, the new equilibrium point will be at _____.

- A. E₁
- B. E₂
- C. E₃
- D. E₄

2009/CE/II/07

The diagram below shows the supply and demand curves of mainland China's milk powder products in Hong Kong. The original equilibrium point is at E.

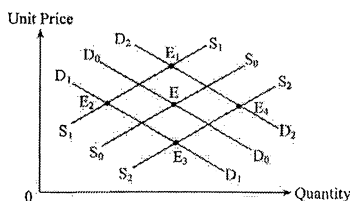


Some of these milk powder products were found to contain the harmful substance, melamine (三聚氰胺) and some mainland milk powder producers left the industry. One possible new equilibrium point of the above diagram is at _____.

- A. E₁
- B. E₂
- C. E₃
- D. E₄

2010/CE/II/08

The diagram below shows the supply and demand curves of swine flu vaccine in Hong Kong. The original equilibrium point is at E.

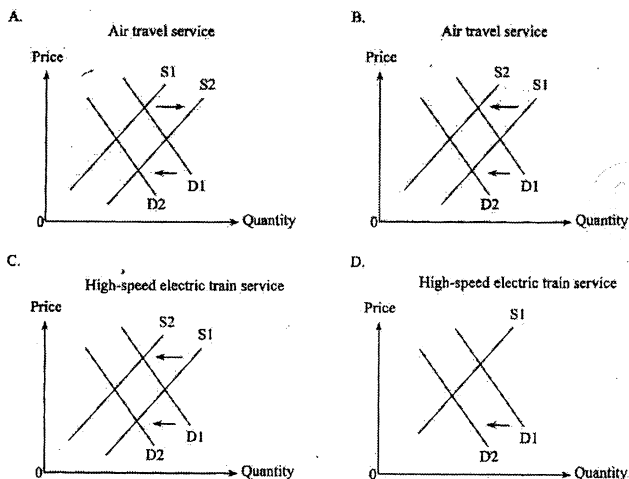


If the number of the swine flu vaccine manufacturers increases and the risk of being infected by swine flu increases, one possible new equilibrium point of the above diagram is at _____.

- A. E₁
- B. E₂
- C. E₃
- D. E₄

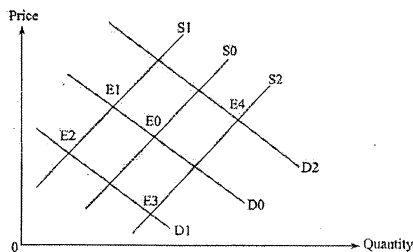
2012/DSE/I/13

A train accident seriously affects the confidence of travellers using a high-speed electric train service. At the same time, the airlines are facing the problem of rising fuel prices. Which of the following diagrams could represent a result of the above events?



2012/DSE/I/15

The following is the demand-supply diagram of a property market. E0 is the original equilibrium point.

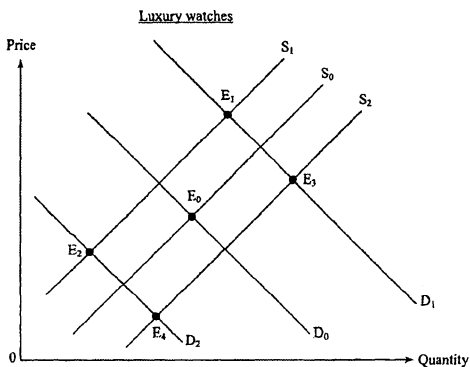


If the government increases the stamp duties levied on property buyers and tightens the controls on dumping of construction waste, the new equilibrium point in the property market will be _____

- A. E₁
- B. E₂
- C. E₃
- D. E₄

2013/DSE/I/11

Refer to the following demand-supply diagram showing the market of luxury watches in Hong Kong. The initial equilibrium point is E₀.



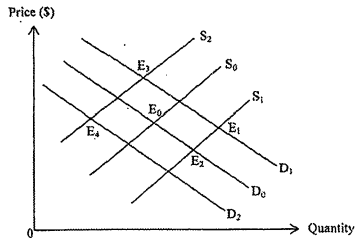
Suppose the rental of shopping premises in Hong Kong rises sharply and the economy in the mainland experiences a recession. The new equilibrium point will be _____.

- A. E₁
- B. E₂
- C. E₃
- D. E₄

2014/DSE/I/14

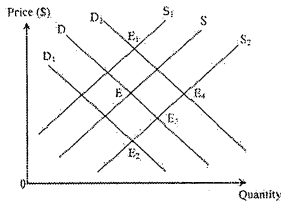
Suppose the equilibrium point of the cosmetic surgery market in Hong Kong is originally at E_0 . If people become open-minded to cosmetic surgery while more regulations are imposed on the cosmetic surgery industry, the new equilibrium point will be at _____.

- A. E_1
- B. E_2
- C. E_3
- D. E_4



2016/DSE/I/16

The diagram below shows the supply and demand curves of taxi services in Hong Kong. The original equilibrium is at E .

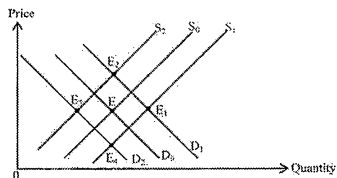


New apps for smartphone such as “Uber” have been developed that enable some private car owners to provide the general public with personalised point-to-point transport service. At the same time, the fuel price has decreased significantly. The new equilibrium point will be at _____.

- A. E_1
- B. E_2
- C. E_3
- D. E_4

2018/DSE/I/16

The diagram below shows the supply and demand curves of air-purifiers. The original equilibrium point is E .

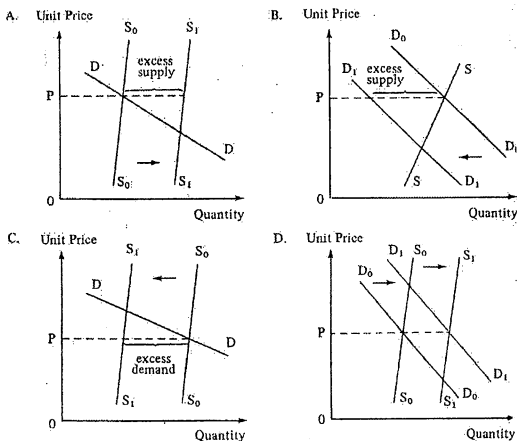


Suppose there is a technological advance in producing air-purifiers. At the same time, the average air pollution index has been increasing over the last decade. The new equilibrium point will be at _____.

- A. E_1
- B. E_2
- C. E_3
- D. E_4

1992/CE/II/23

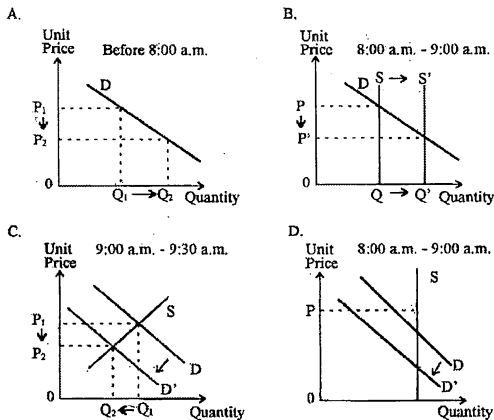
A large stock of corn is piling up because of a good harvest. Which of the following diagrams can explain this phenomenon?



1997/CE/II/06

The Mass Transit Railway Corporation (MTRC) encourages the adoption of a flexi-time office-hours scheme (彈性上班時間) to reduce the overcrowding of passengers during the rush hours. Hence, passengers using the Nathan Road Route before 8:00 a.m. and between 9:00 a.m. and 9:30 a.m. will have a discount on their MTR fares.

Which of the following diagrams could be a result of such a measure of the MTRC?



2005/CE/II/06

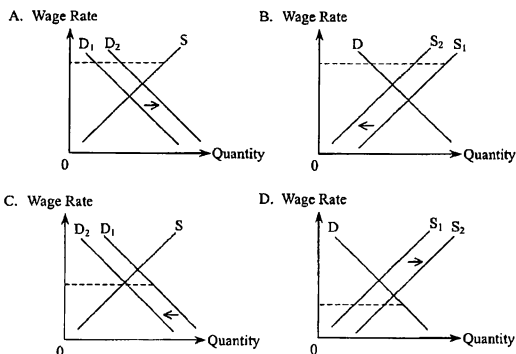
It was reported that in late 2004, there were millions of unemployed people in the countryside of the Chinese mainland. On the other hand, the firms in the Pearl River delta faced a labour shortage problem.

Which of the following would reduce unemployment in the countryside?

- (1) The social welfare benefit of workers in the Pearl River delta improves.
 - (2) Labour wages in the Pearl River delta fall.
 - (3) Firms in the Pearl River delta move to the countryside.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2005/CE/II/07

While many construction workers are unemployed in Hong Kong, there is a shortage of construction workers in Macau. Suppose a law is passed in Macau which allows the importation of construction workers from Hong Kong to Macau. Which of the following diagrams would best describe the effects of such a law on the labour market of construction workers in Macau?



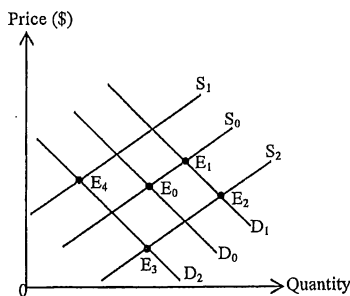
2018/DSE/I/15

The average waiting time for public housing is 4.7 years according to the data from the Housing Authority. Which of the following would lead to an increase in the waiting time for public housing in the long term?

- A. a financial aid offered to low-income families renting private residential flats
- B. a rise in the income limit of applying for public housing
- C. a relaxation of rules regulating the change of land use
- D. a provision of shared-housing units by a billionaire for the applicants of Comprehensive Social Security Assistance Scheme

2019/DSE/I/13

The following is the supply-demand diagram of e-sports equipment. The initial equilibrium point is E_0 .

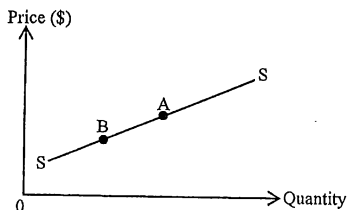


Suppose the government promotes e-sports by subsidising e-sports equipment manufacturers as well as the e-sports training programmes. The new equilibrium point will be _____.

- A. E_1
- B. E_2
- C. E_3
- D. E_4

2019/DSE/I/17

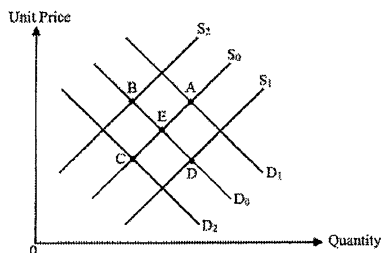
SS is the supply curve of electric vehicles. Which of the following reasons can best explain the change of the equilibrium position in the electric vehicle market from A to B?



- A. All electric vehicle dealers provided a longer warranty period.
- B. The government removed the subsidies on buying electric vehicles.
- C. The gasoline suppliers greatly raised the price of gasoline.
- D. The cost of building charging stations drastically decreased.

2020/DSE/I/14

Refer to the following supply-demand diagram for Good Y.



Suppose Good Y is an inferior good and the initial market equilibrium point is E. If there is a fall in the average income level of consumers, the new market equilibrium point will be _____.

- A. A
- B. B
- C. C
- D. D

2021/DSE/I/13

The demand for _____ can be regarded as a derived demand for _____.

- A. mobile phones ... earphones
- B. laptops ... batteries
- C. music videos ... singers
- D. game programmers ... online games

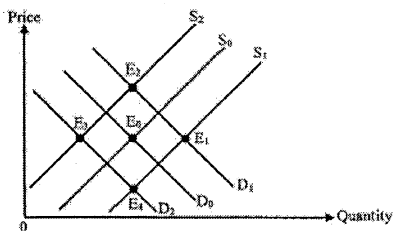
2021/DSE/I/14

When Good X and Good Y are _____, a decrease in the supply of Good X will result in an increase in the _____ Good Y.

- A. substitutes ... supply of
- B. substitutes ... quantity supplied of
- C. complements ... demand for
- D. complements ... quantity supplied of

2022/DSE/I/13

The diagram below shows the demand and supply curves of webcams. The initial equilibrium point is E_0 .

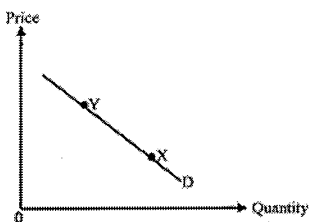


Suppose more firms replace face-to-face meetings with online meetings using video-conferencing software such as Zoom. At the same time, the price of lens used to produce webcams increases. As a result, the new equilibrium point will be ____.

- A. E_1
- B. E_2
- C. E_3
- D. E_4

2022/DSE/I/14

The following diagram shows the demand curve of private housing.



Which of the following can best explain the change in equilibrium position from X to Y?

- A. The household income decreases.
- B. People expect a price drop in private housing.
- C. The wage rates of construction workers increase.
- D. The demand for commercial buildings decreases.

2022/DSE/I/17

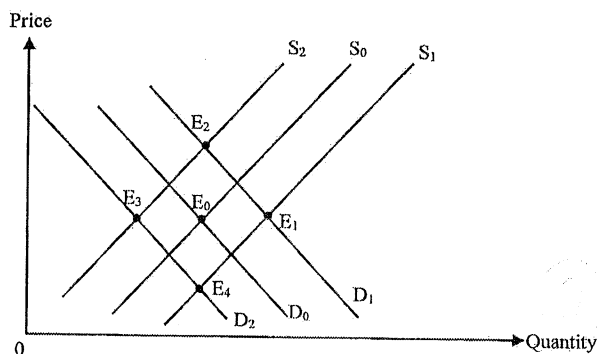
If the price of _____ increases, the supply of _____ will decrease.

- (1) flour.....bread
- (2) beef.....leather
- (3) cars.....gasoline
- (4) commercial buildings.....industrial buildings

- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

2023/DSE/I/12

The diagram below shows the supply and demand curves of electric vehicles. The original equilibrium point is E_0 .

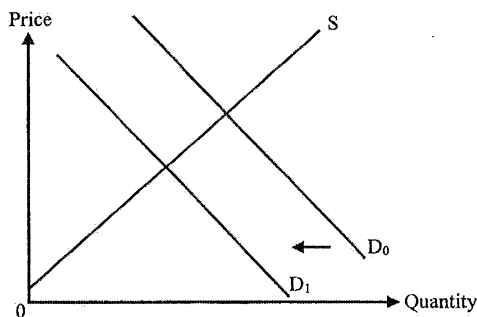


Suppose there is an increase in the cost of producing electric vehicles. At the same time, the decreasing number of car accidents involving electric vehicles increases consumers' confidence in electric vehicles. As a result, the new equilibrium point will be at _____.

- A. E_1
- B. E_2
- C. E_3
- D. E_4

2023/DSE/I/19

Refer to the following diagram about the market of local vegetables in an economy.



The shift of the demand curve from D_0 to D_1 _____.

- A. can be caused by an increase in the price of local vegetables
- B. will raise the marginal cost of the last unit of local vegetables
- C. will lead to economic inefficiency
- D. can be caused by a decrease in the sales tax on imported vegetables

2025/DSE/I/13

The supply curve of Good X is vertical and its demand curve is downward-sloping.

Suppose the supply of Good X decreases while the demand for Good X increases. As a result, the equilibrium price of Good X _____ and its equilibrium quantity _____.

- A. will increase.....will decrease
- B. will increase.....may increase, decrease or remain unchanged
- C. will decrease.....will decrease
- D. will decrease.....may increase, decrease or remain unchanged

2025/DSE/I/14

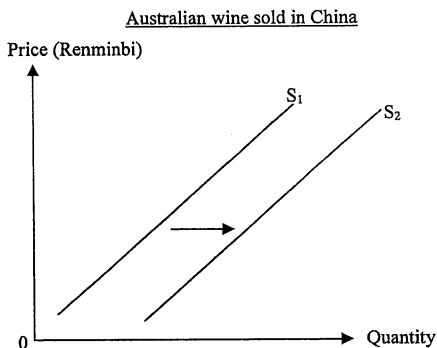
Good X and Good Y are substitutes. If the cost of production of Good X increases, _____.

- (1) the quantity demanded for Good Y decreases
- (2) the quantity supplied of Good Y increases
- (3) the supply of Good Y increases
- (4) the total revenue of Good Y increases

- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

2025/DSE/I/16

Refer to the following diagram.



Which of the following best explains why the supply curve shifts from S_1 to S_2 ?

- A. Cost of production of wine in China decreases.
- B. The income of Australian residents increases.
- C. The Chinese Government abolishes the import tariffs on Australian wine.
- D. Australian dollar appreciates against Renminbi.

2025/DSE/I/38

Suppose both a fiscal deficit and a trade deficit exist in an economy. Which of the following may eliminate both the fiscal deficit and the trade deficit at the same time?

- (1) The government imposes tariffs on a wide range of imported goods.
 - (2) The government raises the rate of the salaries tax.
 - (3) The government devaluates its currency against that of its major trading partners.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

Short & Structured Questions

1991/CE/1/2(b)(i)

Suppose in Hong Kong the public medical service is perfectly inelastic in supply.

At present the public medical fee is set below the equilibrium level. Suppose the government raises the fee to the equilibrium level. With the aid of a diagram, explain what would happen to the following:

- (i) the quantity of the public medical service demanded by the patients
- (ii) the total revenue from the provision of the public medical service

(8 marks)

1993/CE/1/3(c)

During the rush hours, the number of passengers is greater than the maximum capacity of the MTR service. After a peak congestion fare (繁忙時間附加費) was added to the normal fare, there was less overcrowding of passengers during those hours. Explain this situation with the aid of a diagram.

(8 marks)

1995/CE/1/9(a)

The World Cup of 1994 was held in the USA. People from all over the world went to the US to watch the matches.

The final match was held in Los Angeles. The rental accommodation (出租住宿單位) in that city was fixed in supply. Due to the high demand, many disappointed football fans could not rent an accommodation unit because the rental price was not high enough.

- (i) Draw a well-labelled supply-demand diagram to show the above situation. (2 marks)
- (ii) If the rental price had been raised to a level where the demand had met the fixed supply, how would the rental income of the accommodation owners be different from that in (a)(i)? Explain with the aid of a diagram. (5 marks)

1999/CE/1/11(a)

Some people believe that the number of taxis on roads can never satisfy the demand and that a rise in taxi fares would increase the sales revenue of the taxi service.

Explain this viewpoint with the aid of a supply-demand diagram.

(8 marks)

1990/CE/1/4(b)

Suppose there is a fall in local people's desire for consumption and unsold stocks are piling up in the garment industry. Illustrate this situation with the aid of a diagram.

(6 marks)

2004/CE/1/10(a)

In 2003, SARS (severe acute respiratory syndrome) seriously affected Hong Kong's economy.

At the outbreak of SARS, airlines did not reduce air fares or the number of flights. As a result, there were a lot of empty seats on planes flying to Hong Kong. With the aid of a diagram, explain the above economic phenomenon, and explain how the total revenue of these airlines was affected.

(8 marks)

1990/CE/I/5(c)(ii)

The government has announced a \$127 billion project for building a new airport at Chek Lap Kok and improving the harbour facilities.

Explain the effects on

- (I) the demand for
- (II) the supply of

residential flats in and around Kowloon City after the removal of the airport to the new site. (6 marks)

1991/CE/I/4(c)

Many construction companies in Hong Kong say that they are facing the problem of 'labour shortage'.

(i) What is meant by 'shortage' in economics? Illustrate with a diagram. (5 marks)

(ii) Suppose the wage rate of construction workers remains unchanged. With the aid of separate diagrams, explain how

(I) a recession (5 marks)

(II) the importation of construction workers (5 marks)

would lessen the 'labour shortage' problem of the construction companies.

1992/CE/I/4(d)

Owing to the construction of the new airport, more companies have decided to redevelop their factories in Tsuen Wan into hotels and shopping centres.

(i) Explain the effect on **BOTH** the demand for and supply of hotels and shopping centres in Tsuen Wan in the coming few years. (6 marks)

(ii) With the aid of a supply and demand diagram, explain why the prices of the properties in (d) (i) might still increase. (6 marks)

1993/CE/I/4(b)(ii)

Suppose a large number of Japanese TV sets are smuggled from Hong Kong to China and sold for HK\$40 million.

With the aid of a diagram, explain how the equilibrium price of the TV sets in China will be affected. (4 marks)

1995/CE/I/11(a)

After the completion of a new highway, the travelling time between Tin Shui Wai and Central will be much shortened. In addition, more land in Tin Shui Wai will be provided for building private housing.

Mr. Ip thinks that the prices of private housing in Tin Shui Wai will increase due to the combined effects of the above government policies. With the aid of a supply-demand diagram, explain the circumstance under which Mr. Ip would be right. (7 marks)

1996/CE/I/12(a)

The manufacturing workers in Hong Kong are facing the problem of a rising unemployment rate. Assume that manufacturing workers are not willing to accept lower wage rates. With the aid of separate diagrams, explain how **EACH** of the following would lead to rising unemployment in the manufacturing sector.

(i) declining secondary production because of a structural change in the economy. (5 marks)

(ii) importation of manufacturing workers. (5 marks)

1997/CE/I/2

Workers in the manufacturing sector in Hong Kong have an unemployment problem. With the aid of a supply-demand diagram, explain **ONE** situation under which the number of unemployed manufacturing workers may decrease. (6 marks)

1997/CE/I/9(b)

Suppose the government builds a railway in northwest New Territories.

With the aid of a diagram, explain the effect of this new railway on the total revenue of mini-buses operation on the same route. (6 marks)

1998/CE/I/9(c)

Mr. Wong employs some imported workers in the restaurant.

- (i) With the aid of a diagram, explain the effect of importation of workers on the equilibrium wage rate of restaurant workers in Hong Kong. (4 marks)
- (ii) Use the same diagram to illustrate the effect of importation of workers on the employment level of *local restaurant workers*. (3 marks)

1998/CE/I/10(b)

Suppose the government punishes both the sellers and buyers of illegal computer software. With the aid of separate diagrams, explain how this would affect the market price of

(i) illegal computer software. (6 marks)

(ii) legal computer software. (4 marks)

1999/CE/I/2

Study the following news report:

Last year people were afraid of eating poisonous seafood. Though the import volume of seafood decreased, its selling price remained the same.

Explain the phenomenon mentioned in the news report with the aid of a supply-demand diagram. (6 marks)

1999/CE/I/10(a)

There is a serious unemployment problem in Hong Kong.

- (i) Given a fixed wage rate, explain why a decrease in the profits tax rate may reduce unemployment. (3 marks)
- (ii) Draw a supply-demand diagram for the labour market in (a)(i). Explain, step by step, how the diagram is drawn. (6 marks)

2000/CE/I/2

David: 'When the price of chocolates increases, people will buy fewer chocolates.'

Amy: 'No, I don't think so. The price of chocolates has increased, but the quantity of chocolates bought has also increased.'

Explain, with the aid of separate diagrams, why both of them can be correct (7 marks)

2000/CE/I/9(b)(i)

Some petroleum companies complained that their business was affected because some drivers bought gasoline from smugglers who evaded import duties.

With the aid of a diagram, explain how the smuggling of gasoline would affect the sales revenue of petroleum companies. (7 marks)

2001/CE/1/10(c)(i)

Bank A raises capital by issuing shares to the public. The quantity and subscription price (認購價) of these shares are fixed and not all people who apply for these shares are successful in their application.

Explain the economic phenomenon described above with the aid of a diagram. Also indicate in the diagram the amount of capital raised. (7 marks)

2001/CE/1/11(d)

There is an excess supply of private housing at the price set by private housing developers. The government declares that the supply of housing under the Home Ownership Scheme will be reduced.

Suppose the price of private housing remains unchanged. With the aid of a diagram, explain how this new government housing policy would affect the sales revenue of private housing developers. (7 marks)

2002/CE/1/2

Suppose the Organization of Petroleum Exporting Countries cuts its oil production. At the same time, the demand for automobiles decreases.

With the aid of a diagram, explain under what condition the price of gasoline would increase. (7 marks)

2002/CE/1/10(b)

Suppose the banks decrease their interest rates on home mortgage loans. With the aid of a diagram, explain how this would affect the total expenditure on the purchase of private housing. (6 marks)

2002/CE/1/11(b)

There are student places not yet filled in Miss Wong's tutorial school. The school decides to launch an advertising campaign to recruit more students and to keep the tuition fee unchanged.

With the aid of a diagram, explain how a successful advertising campaign would fill all the places and increase the total revenue of the school. (7 marks)

2003/CE/1/1

A reporter wrote: '...The government has not allowed families with an income of more than \$21 000 a month to buy a living unit under the Home Ownership Scheme (HOS). Nevertheless, there are not enough living units under this scheme available for applicants.'

(a) Use your knowledge of demand and supply to describe the HOS living units market. Illustrate your answer with the aid of a diagram.

(b) If the income restriction on the applicants is lowered to \$18 000, explain the effect on the HOS living units market by using the diagram in (a). (7 marks)

2003/CE/1/10(b)

Suppose the price of paper falls drastically and the number of school children increases.

(i) Explain why the supply of and the demand for textbooks would be affected by these changes.

(ii) With the aid of a diagram, explain under what condition the price of textbooks would decrease. (8 marks)

2003/CE/1/11(d)

With the aid of a diagram, explain how the closing down of IT companies would affect the wage rate and employment level of the professionals in the IT industry. (6 marks)

2004/CE/1/3

Recently, digital cameras have become popular for taking photographs. With the aid of a diagram, explain how this would affect consumers' total expenditure on rolls of film (6 marks)

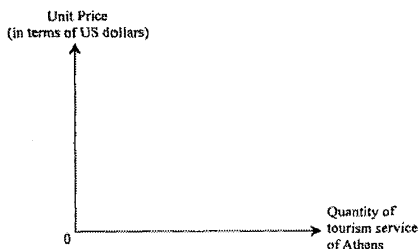
2005/CE/1/1

During the period of the 2004 Olympic Games, the tourism business of the host city Athens was not as good as expected. The causes were generally believed to be an appreciation of the euro and also that tourists were afraid of a terrorist attack.

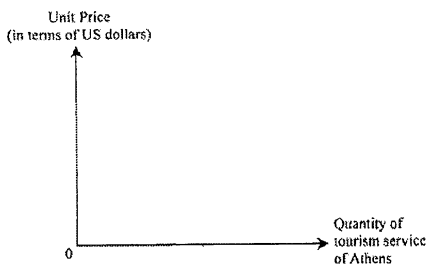
One of the above two causes would lead to a change in demand for, while the other would lead to a change in the quantity demanded of, the tourism service of Athens.

With the aid of the following two diagrams, explain separately the effect of each of the above two causes. (5 marks)

(i) The effect of an appreciation of the euro:



(ii) The effect of a fear of a terrorist attack:



2006/CE/I/9(a)

Each year, during the tourism peak season of the National Day golden week in October, a large number of tourists from Mainland China visit Hong Kong.

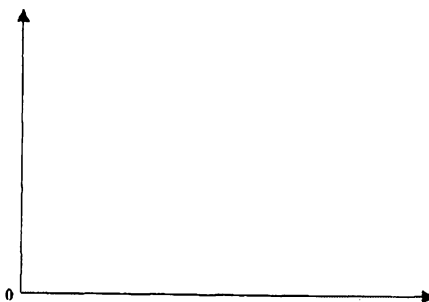
Many of these tourists stay at local 3-star hotels. Assume that the room charges of these hotel are the same at the same points in time.

- (i) Every September these hotels have vacant rooms. Draw a supply-demand diagram in Figure 2 for this situation. Explain your answer. (3 marks)
- (ii) As compared to September, these hotels have fewer vacant rooms during the National Day golden week in October even though they raise their room charges during this week.

Indicate the above changes in the supply-demand situation of these hotel rooms in Figure 2. Explain your answer.

(6 marks)

Figure 2



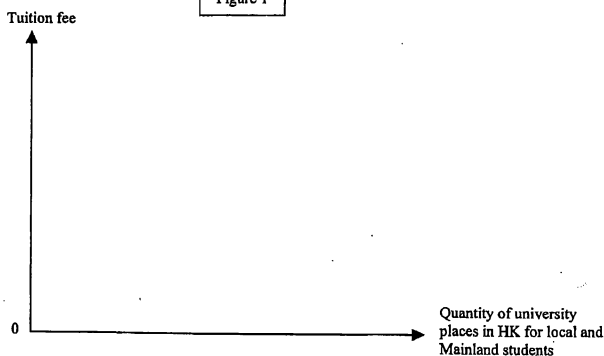
2007/CE/I/8(a)

The universities in Hong Kong do not only admit local students. Since last year, these universities have begun to admit a large number of top-quality Mainland students. Suppose all students pay the same tuition fees.

Because of competition from these Mainland students, the problem of shortage of university places in Hong Kong has worsened. Draw a supply-demand diagram in Figure 1 to illustrate the above change in the shortage. Explain your answer.

(6 marks)

Figure 1



2008/CE/I/1

Rice is a staple food in Hong Kong. Refer to the following table.

Year	Total consumption of rice (ton) in Hong Kong
1980	355 310
1990	351 182
2000	322 223

During this period of time, the size of population of Hong Kong has increased. Explain **TWO** demand-side factors that would lead to the above change in rice consumption. (4 marks)

2010/CE/I/1

One month after the first phase implementation of an environmental levy on plastic shopping bags, an increase in the quantity sold of non-woven reusable bags (不織布袋), which are not subject to the levy, was reported.

Based on the above information, explain the change in the total revenue of non-woven reusable bags with the aid of a supply-demand diagram. (5 marks)

2010/CE/I/11(a)

The 2008 financial tsunami had a huge impact on Economy A.

Given a fixed wage rate, explain with the aid of a supply-demand diagram why a decline in the business of the financial sector due to the financial tsunami would increase unemployment in this sector. Also indicate in the diagram the loss in total wage earnings of the employees in this sector. (9 marks)

2012/DSE/II/12(c)

The local property market is considered to be overheated. The government has decided to re-introduce the Home Ownership Scheme in which eligible citizens can purchase a living unit under the scheme at a great discount.

- (i) With the aid of a demand-supply diagram, explain how the re-introduction of the Home Ownership Scheme would cool down the private housing market. (5 marks)
- (ii) **WITHOUT** the aid of a diagram, explain how the mortgage interest rate could be adjusted to cool down the private housing market. (3 marks)

2015/DSE/II/4(b)

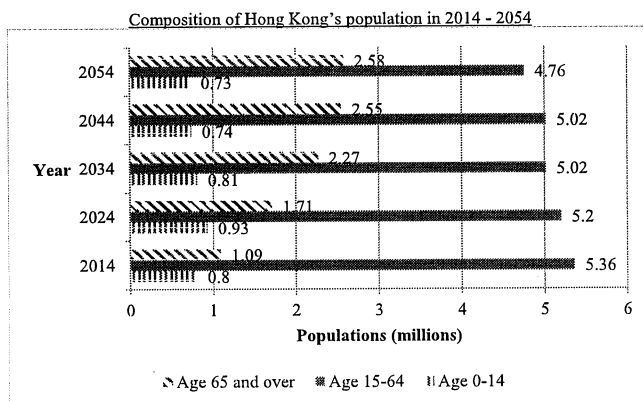
Read the following news extract.

The strong preference for small flats has pushed the prices of the flats under 400 square feet to a new high in the past few months. It is expected that more and more small flats will be available for sale in the coming future.

Explain how the supply of large flats would be affected by the strong preference for small flats. (2 marks)

2018/DSE/II/13(c)

The source below shows Hong Kong's population projection.



Susan is a local S6 graduate and is considering enrolling a programme in either primary education or nursing in Hong Kong. If future income is her major concern, which programme would you recommend to her? Explain your choice with reference to the above source. (4 marks)

2022/DSE/II/10e

The Olympic Games attract billions of international television viewers to watch the competitions among thousands of top athletes.

Whenever an athlete wins a gold medal in a certain sport, there will be the following phenomena: more people will start learning the sport. As a result, there will soon be long queues registering for courses in the sport.

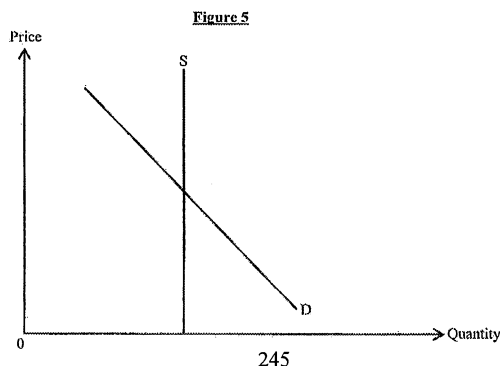
(e) With the aid of a demand-supply diagram, explain the above phenomena.

(5 marks)

2023/DSE/II/11(a)

In Hong Kong, fans of popular singers often complain that they are unable to buy concert tickets of their idols at the official prices.

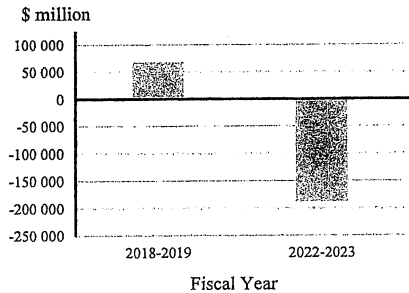
(a) Figure 5 shows the demand for and the supply of the concert tickets of a popular singer in Hong Kong. With the aid of Figure 5, explain the above phenomenon. (4 marks)



2024/DSE/II/13(d)

Hong Kong experienced an economic downturn because of the Covid-19 pandemic. It still faces various challenges on its path to resumption of normalcy after the pandemic.

Source A: Fiscal balance of the Hong Kong Government



Source D: Wage rates of waiters in Hong Kong in 2023

Statutory minimum wage rate	\$40 per hour
Average wage rate of waiters	\$62.4 per hour